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NAC ENERGY

2026 August 26

DEPARTMENT OF ENERGY
Energy Center, Rizal Drive
Bonifacio Global City
Taguig City

Attention : **Hon. Sharon S. Garin**
Secretary

ENERGY REGULATORY COMMISSION
Exquadra Tower 1, Jade Drive
Ortigas Center, Barangay San Antonio
Pasig City

ENERGY REGULATORY COMMISSION ERC PHILIPPINES

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Attention : **Hon. Francis Saturnino C. Juan**
ERC Chairman

Subject : *Position Paper on Mid-Merit Gas Auction Terms of Reference*

Ladies and gentlemen:

We are grateful for the Department's and the Commission's guidance and for its continuing work to shape a natural gas policy that advances energy security, resiliency, affordability, and sustainability. We share the your view that natural gas can serve as a practical complement to the country's growing renewable energy base. Properly structured, it can provide reliable mid-merit and flexible capacity and reduce dependence on diesel and other liquid fuels. Equally important and relevant, it will support the development of a more diversified energy system.

In view of this, we respectfully submit the attached position paper, "Recommendations for Establishing a Philippine LNG Supply Chain Through the Mid-Merit Natural Gas Auction." The paper proceeds from a simple premise: the Philippines should not aim merely to build LNG terminals. It should aim to establish a working LNG supply chain. That chain must link LNG supply, import infrastructure, regasification, power generation, transmission, distribution, retail supply, distribution utilities, contestable customers, industrial demand, and small-scale LNG delivery to islands and off-grid loads.

Such a supply chain will not arise without anchor demand. A high-efficiency gas-fired power plant can provide that anchor only if it is dispatched as true mid-merit capacity. For this reason, the attached paper respectfully proposes that awarded gas-fired new builds receive a Minimum Mid-Merit Dispatch Quantity of 60% of awarded capacity, measured annually and adjusted only for approved outages, force majeure, and generator-attributable unavailability.

This 60% MMDQ is not proposed as preferential must-run treatment. It is the minimum economic volume needed to make an LNG terminal viable, secure firm LNG supply, and justify the downstream investments needed to create a supply chain. Without assured throughput, a terminal may become stranded infrastructure. Worse, LNG procurement may revert to short-term spot cargoes that are prone to geopolitical uncertainties and volatile pricing. The

country may lose the opportunity to build a durable market platform for flexible generation, regional diversification, and small-scale LNG.

The paper also addresses related requirements that are essential to bankability and consumer protection. These include a make-whole mechanism when an available plant is not dispatched for reasons outside its control, full recovery of prudent LNG fuel costs under an approved Fuel Supply and Price Risk Management Plan, timely settlement and payment security acceptable to LNG suppliers and lenders, fair treatment of imported LNG while respecting the statutory priority for indigenous gas, and a separate new-build and regional-diversification auction tranche suited to projects that have yet to secure sites, interconnection, fuel supply, terminal arrangements, and financing.

We recognize the Department's and the Commission's duty to protect consumers from excessive cost. Our submission is made in that same spirit. A well-designed mid-merit gas auction should not shift imprudent costs to consumers. But neither should it leave new entrants, generators, fuel suppliers, terminal developers, or lenders exposed to risks that they cannot manage and consequently render the establishment of an LNG supply chain infeasible. The auction may produce apparent price discipline, but fail to attract the long-term LNG supply and infrastructure investment that the country needs.

We also believe that the system-wide cost of a 60% MMDQ for new gas-fired capacity can be kept modest. The volume required to anchor an LNG terminal is material to the project, but small in relation to total national electricity generation. It should therefore be understood as a limited reliability and market-development instrument, not as a broad burden on the power system. It will also reduce reliance on more expensive diesel and oil-based generation for flexible supply, particularly in island, off-grid, Visayas, and Mindanao contexts.

We respectfully request that the Department and the Commission consider the attached paper in connection with the continuing refinement of the Mid-Merit Natural Gas Capacity Auction, the Gas Auction Implementation Guidelines, the Terms of Reference, and the related ERC settlement and fuel-cost recovery rules. We would welcome the opportunity to discuss these recommendations with the Department and the Commission and, if useful, with the relevant DOE, ERC, IEMOP, and NGCP technical teams.

Thank you again for your time, guidance, and leadership. We remain ready to support the Department's work toward a more secure, diversified, competitive, and resilient Philippine energy system.

Respectfully yours,
NAC ENERGY, INC.
By:

Joseph C. Nocos

POSITION PAPER

Building a Bankable Philippine LNG Supply Chain

Through the Mid-Merit Natural Gas Capacity Auction

Department of Energy | Energy Regulatory Commission |Republic of the Philippines

Core proposition: dispatch creates demand; demand supports the terminal; the terminal enables the supply chain; and the supply chain advances energy security.

Prepared by NAC Energy, Inc. (formerly Emerging Power, Inc.)

2026 August 26

AT A GLANCE

The auction can build more than capacity; it can build the LNG supply chain

The requisites are straightforward: anchor volume, whole-making settlement, supplier-bankable fuel recovery, and fair access for new builds.

The Philippines should not aim merely to build LNG terminals. It should aim to build a working LNG supply chain that will complement and augment the existing terminals in Batangas: LNG supply, shipping, import terminal, regasification, power generation, transmission, distribution, retail supply, distribution utilities, contestable customers, industrial demand, and small-scale LNG delivery to islands and off-grid loads.

The Mid-Merit Natural Gas Capacity Auction can create this chain. But it must be bankable for the power generator, the LNG supplier, the terminal developer, lenders, distribution utilities, and consumers.

60%

Minimum Mid-Merit Dispatch Quantity ("MMDQ")

of awarded capacity, measured annually

6.31 TWh/yr

Anchor energy for a 1.2 GW CCGT

1,200 MW x 8,760 h x 60%

~3.1%

Share of Aurora 2035 generation forecast

limited system-wide exposure

The central point

Without a 60% MMDQ, a new gas-fired plant may win capacity in name but fail to create the minimum LNG volume needed to finance a terminal, secure cargoes, or build downstream small-scale LNG.

The requisites for a bankable auction

Requisite	Why it matters
60% MMDQ	Creates the minimum volume needed for terminal throughput and firm LNG supply.
Make-whole settlement	Keeps an available, fuel-ready plant whole when it is not dispatched for reasons outside its control.
Whole-making fuel recovery	Allows recovery of prudent LNG cost under an approved supply and price-risk plan.
Timely payment and credit support	Matches LNG cargo payment practice and protects supplier credit exposure.
FX, inflation, logistics, tax and change-in-law adjustment	Avoids excessive risk premiums caused by long-term peso revenue against USD-linked costs.
Fair imported LNG treatment	Respects indigenous gas priority while preserving competition, regional diversification and approved LNG commitments.
New-build and regional-diversification tranche	Lets credible development-stage entrants compete on realistic timelines.

I. EXECUTIVE SUMMARY

The auction should procure a bankable supply chain, not only a generator

A useful gas auction must create the volume, payment certainty, and risk allocation needed to attract new-build capital and firm LNG supply.

A true LNG supply chain has many links. LNG must be bought, shipped, received, stored, turned back into gas, delivered to a power plant or another customer, converted into electricity where appropriate, and paid for through a reliable settlement chain. Given the huge investment required to establish a terminal and the power station that will underpin it, the failure of a major link will cause the entire chain to break.

The central requirement is a Minimum Mid-Merit Dispatch Quantity, or MMDQ, of at least 60% of awarded capacity for new gas-fired builds. Without this minimum volume, a new LNG terminal cannot establish the economic throughput needed to proceed.

For a 1.2 GW combined-cycle gas turbine plant, or CCGT, a 60% MMDQ equals about 6.31 TWh per year. That volume is material to an LNG terminal. It is modest in relation to the national power system.

Aurora forecasts WESM-wide generation of about 205 TWh in 2035 and 249 TWh in 2040. The 6.31 TWh MMDQ would therefore represent about 3.1% of 2035 generation and 2.5% of 2040 generation. Each PHP 1.00/kWh premium in this MMDQ energy would translate to only about 3 centavos/kWh across a 2035 system of that size.[1]

The alternative is not free. Where the system lacks gas-fired flexibility, it must rely on coal ramping, oil-based generation, diesel plants, batteries of limited duration, or emergency market purchases. The DOE Circular itself notes that, in the Visayas and Mindanao, the absence of gas-fired generation leaves system flexibility largely dependent on coal and oil-based generation.[1]

Industry comments from both the LNG supplier and power developer perspectives confirm that dispatch volume alone is not enough. The auction must also provide make-whole settlement, full recovery of prudent LNG fuel costs, timely settlement and payment security, adjustment mechanisms for major cost drivers, fair imported LNG treatment, and a separate track for new-build and regional-diversification projects.

> In short: the MMDQ creates the minimum volume needed for an LNG terminal. Bankable fuel recovery, settlement, credit support, and risk allocation create the confidence needed for firm LNG supply. Both are required.

II. THE QUESTION BEFORE DOE

The policy direction is sound; the commercial design must now make it bankable

The current framework recognizes natural gas as a transition fuel and flexible resource, but the draft settlement design still leaves key new-build risks unresolved.

The Department has already made the right policy judgment. The DOE Circular recognizes natural gas as a transition fuel, able to help address peaking, mid-merit, and baseload demand while supporting the transition to renewable energy. It also recognizes the need to develop the Philippines as an LNG trading and transshipment hub in the Asia-Pacific region.[4]

The Circular also recognizes a practical system problem. Variable renewable energy is growing. DOE notes that roughly 12 GW of variable renewable capacity had been awarded through Green Energy Auction Rounds 1 to 4, requiring flexible mid-merit capacity to mitigate intermittency and maintain grid reliability.[5]

Aurora reaches the same practical conclusion. As solar grows, it displaces gas during midday periods, but it also requires gas to ramp up and down to manage renewable intermittency.[6]

The question is therefore no longer whether the Philippines needs flexible gas capacity. It does. The question is whether the auction rules will merely add capacity or actually create a bankable LNG supply chain.

The present draft is a good start. It allows new, expanded, upgraded, and existing uncommitted natural gas capacities to participate. It also recognizes full recovery of prudent and reasonable economic costs and provides that fuel cost should be a pass-through component, subject to ERC verification.[7]

But the draft still leaves new entrants exposed to risks they cannot prudently bear. The settlement formula pays on actual energy delivered: Total MMSA = Energy Delivered x (GAP + Fuel Cost). The ERC summary reflects the same structure and states that no separate capacity fee is allowed.[8]

That creates a mismatch. The auction procures mid-merit capacity, but the generator is paid only when dispatched. If the plant is available but dispatched below the assumed level, the generator, terminal, and LNG supplier may not recover the fixed costs and firm commitments needed to stand ready.

III. WHAT AN LNG SUPPLY CHAIN MEANS

A terminal without assured throughput is not a supply chain

LNG is simple to describe but complex to contract, finance and operate. The rules should therefore allocate risks across the whole chain.

LNG is natural gas cooled into liquid form so it can be transported by ship. After arrival, it must be stored, warmed back into gas, and delivered to a power plant or another customer. This requires a chain of physical assets and commercial commitments.

Link	Commercial need	Risk if not addressed
LNG supplier	Firm cargo commitments and timely USD payment	No firm supply or higher risk premium
Shipping and delivery	Scheduled cargo windows, port access and diversion rights	Missed cargoes, demurrage or replacement-fuel exposure
Terminal and regasification	Assured throughput and cost recovery	Underused or stranded infrastructure
Power plant	Dispatch volume, fixed-cost recovery and fuel readiness	Non-recovery of fixed costs despite availability

Link	Commercial need	Risk if not addressed
Grid and offtakers	Reliable dispatch, settlement and credit support	Payment delay, curtailment and stranded commitments
Downstream ssLNG	Demand aggregation for islands, industrial loads and off-grid supply	No scalable market beyond the anchor plant

Our presentation to the DOE last 2026 June 25 described this full value chain: gas or LNG supplier, import terminal, regasification, power plant, transmission, distribution, and consumers, with GSA or LNG SPA arrangements on the fuel side and PPAs or market arrangements on the power side.[6]

Our 2026 July 3 letter likewise states that the project is intended to link LNG supply, import terminal development, regasification, power generation, transmission, distribution, retail supply, distribution utilities, contestable customers, industrial demand, and small-scale LNG delivery.[7]

A terminal without assured throughput is not a supply chain. It is an idle asset. A power plant without firm gas supply is not reliable capacity. A fuel supplier without payment security will not commit firm cargoes on bankable terms.

IV. WHY THE PHILIPPINES NEEDS THE CHAIN

Gas can provide flexible power, regional diversification and a path away from diesel dependence

The LNG supply chain can help integrate renewables, diversify infrastructure beyond Batangas, and serve island, off-grid and industrial demand.

First, gas can provide flexible power as renewable energy grows. DOE's Circular states that gas capacity is needed to support system flexibility, dispatch efficiency, and the transition role of gas. Aurora forecasts that gas CCGT capacity will remain important as coal retires and the system needs sufficient dispatchable capacity.[8]

Second, gas can diversify infrastructure. Current gas assets are concentrated in Batangas. It is imperative that the country diversifies LNG infrastructure beyond Batangas, reduce concentration risk, and prepare for next-wave capacity growth after 2030.[9]

Third, gas can reduce dependence on diesel and other liquid fuels in islands, off-grid areas, and industrial loads. Small-scale LNG is the best way to substitute diesel, increase terminal utilization, and unlock island demand through aggregation.[10]

Aurora's forecast supports the timing. Under its Central case, Luzon requires about 1.6 GW of additional gas capacity by 2034, broadly aligned with EPI's intention to construct a 1.2 GW CCGT plant by December 2033. Aurora also identifies additional gas needs in the Visayas and Mindanao from 2030 onward consistent with the DOE's view.[11]

V. THE 60% MMDQ IS THE CENTRAL REQUIREMENT

Anchor demand makes the terminal financeable and the supply chain credible

The MMDQ should be measured annually, subject to availability, and paired with deemed-delivery protection when non-generator causes suppress dispatch.

Proposed definition

Minimum Mid-Merit Dispatch Quantity, or MMDQ, means the minimum annual net energy quantity that an awarded gas-fired facility must be dispatched, or deemed dispatched when available, for mid-merit service. The MMDQ shall not be less than 60% of awarded capacity multiplied by 8,760 hours, adjusted only for approved outages, force majeure, and generator-attributable unavailability.

This requirement should apply to new-build gas-fired plants expected to anchor LNG terminal development. For a 1.2 GW CCGT, the 60% MMDQ equals 6.31 TWh per year. At typical modern CCGT efficiency, that generation volume would support roughly 0.8 to 0.9 MTPA of LNG demand. That is a credible first tranche of terminal throughput.

The MMDQ should not require the plant to run every hour. It can be measured annually, with quarterly monitoring and monthly flexibility. It should be subject to system security and plant availability. It should not protect a plant that is unavailable due to its own fault.

Case	Treatment
Available and dispatched	Receive normal settlement: GAP, variable non-fuel recovery, and certified fuel cost.
Available but not dispatched for non-generator cause	Treat the undelivered portion needed to meet the MMDQ as deemed delivered for non-fuel recovery. Recover unavoidable approved LNG obligations.
Unavailable for generator-attributable cause	No deemed delivery; generator bears the consequence through availability and performance adjustments.

This is a fair and reasonable approach. It protects consumers against poor performance. It protects investors against market, grid, or dispatch decisions they do not control. It also gives the LNG supplier and terminal developer the volume signal needed to commit capital and cargoes.

VI. THE MMDQ WILL NOT UNDULY BURDEN CONSUMERS

The required volume is material to the project, but modest to the system

The 60% MMDQ should be understood as a limited reliability and market-development instrument, not a broad must-run burden.

Reference system	Total generation	1.2 GW CCGT at 60% MMDQ	Share

Philippines 2025 gross generation	126.4 TWh	6.31 TWh	~5.0%
Aurora 2035 WESM-wide generation	205 TWh	6.31 TWh	~3.1%
Aurora 2040 WESM-wide generation	249 TWh	6.31 TWh	~2.5%
Aurora 2045 WESM-wide generation	296 TWh	6.31 TWh	~2.1%

The rate effect is therefore limited. In a 2035 system of 205 TWh, every PHP 1.00/kWh difference in the cost of MMDQ energy would translate to only about PHP 0.031/kWh, or 3.1 centavos/kWh, across the system. Even a PHP 2.00/kWh difference would translate to about 6.2 centavos/kWh.[5]

This is a modest system-wide cost for a policy instrument that creates the minimum economic volume for an LNG terminal, supports firm fuel supply, and reduces reliance on more expensive emergency or diesel-backed flexibility.

The diesel comparison is important. DOE notes that, in the Visayas and Mindanao, the absence of gas-fired generation leaves system flexibility largely dependent on coal and oil-based generation. Aurora notes that Visayas and Mindanao will be exposed because of reliance on expensive gas and diesel for firming capacity. Comparatively, if diesel plants were to provide the service that we envision for gas-fired power plants, the cost would be multiples greater as the cost would then approximate SPUG true generation cost indicators that average about PHP 18/kWh and can reach PHP 62/kWh in some locations.[6]

> The 60% MMDQ is therefore an insurance premium. It creates the anchor volume for a new fuel supply chain and helps avoid the higher cost of diesel-dependent flexibility.

VII. THE DRAFT FRAMEWORK PRICES MID-MERIT CAPACITY BUT DOES NOT YET ENSURE MID-MERIT DISPATCH

Energy-only settlement shifts dispatch risk to the generator and volume risk to the LNG chain

A mid-merit plant has value because it is available and flexible; many of its costs remain fixed even when it is not dispatched.

A mid-merit plant stands ready to operate when demand rises, when renewable output drops, or when the grid needs support. Debt service, fixed O&M, staffing, insurance, land, major maintenance, interconnection, terminal capacity, and fuel-supply readiness do not disappear when the plant is not dispatched.

The present energy-only settlement transfers dispatch risk to the generator. It also transfers volume risk to the LNG terminal and supplier. That risk cannot be managed by the generator alone.

Option	Formula	Why it works
Preferred: two-part settlement	Total Settlement = Availability Payment + Variable Non-Fuel Payment + Fuel Cost Recovery	Pays for availability and flexibility; pays fuel when consumed; penalizes poor availability.
Fallback: deemed-delivery make-whole	MMSA = GAP x max(Energy Delivered, Deemed Delivered Energy up to MMDQ) + Fuel Cost Recovery	Preserves GAP framework while allowing non-fuel recovery when the plant was ready but not dispatched for non-generator causes.

Under either approach, fuel commodity cost should be paid mainly for actual generation. But unavoidable fuel-supply and logistics obligations approved in advance should be recoverable when the plant was available and the shortfall arose from non-generator causes.

VIII. FUEL-COST RECOVERY MUST BE WHOLE-MAKING AND SUPPLIER-BANKABLE

Benchmarks should be prudence tools, not hard caps against approved LNG contracts

LNG cargoes are procured in USD, through commercial commitments, delivery windows, logistics arrangements and credit support.

The current ERC summary indicates that imported LNG will be benchmarked primarily to a three-month trailing JKM price, with Henry Hub or TTF as supplementary references. It also states that allowable add-on costs such as regasification, transportation, storage, gas conditioning, metering, and boil-off gas losses are subject to ERC caps; that ERC must certify monthly fuel costs before settlement; and that costs exceeding benchmarks or caps are disallowed.[11]

This framework protects consumers. But if it operates as a hard cap, it will not attract firm long-term LNG supply.

LNG is not procured like a small commodity bought at the plant gate. Cargoes must be contracted, scheduled, financed, shipped, stored, and paid for well in advance. LNG is usually priced in U.S. dollars. It may be bought under long-term contracts, short-term cargo arrangements, spot purchases, or a portfolio of all three. A prudent portfolio balances price, reliability, flexibility, credit exposure, delivery windows, diversion rights, and supply security.

If a long-term LNG formula is recoverable only when it is lower than spot, the buyer receives the benefit of long-term supply when it is cheap, but the supplier and generator carry the loss when it is not. No rational supplier will commit firm long-term cargoes on that basis. The market will default to spot procurement, higher risk premia, reduced flexibility, or no firm LNG supply at all.

Proposed fuel-cost standard

DOE and ERC should approve a Fuel Supply and Price Risk Management Plan. Fuel costs incurred under that plan should be presumed prudent and recoverable, subject to audit for fraud, affiliate abuse, arithmetic error, manifest imprudence, or material deviation from the plan.

The following components typically comprise the cost of acquiring LNG for power generation purposes:

- LNG commodity cost, including long-term LNG SPA or GSPA price formula;
- Short-term and spot cargo procurement;
- Freight, port, demurrage not caused by generator fault, and delivery costs;
- Regasification, terminal charges, storage and boil-off gas;
- Pipeline, trucking, marine transport and small-scale LNG logistics;
- Taxes, duties, VAT, FX conversion and credit support costs;
- Balancing, replacement cargoes and unavoidable take-or-pay, ship-or-pay, terminal-capacity or minimum-bill obligations.

JKM, Henry Hub, TTF, and similar indices should remain useful benchmarks. They should help identify abuse or imprudence. But they should not operate as automatic hard caps against a long-term LNG contract approved in advance.

IX. LEAST COST SHOULD MEAN PRUDENT PORTFOLIO COST, NOT THE CHEAPEST CARGO

For LNG, the lowest monthly spot price is not always the lowest-risk or lowest-cost supply strategy over time

The audit standard should judge the decision when made, not in hindsight after market prices have moved.

The Circular properly requires least-cost procurement, preferably through a long-term supply agreement. The phrase, however, needs definition.[9]

For LNG, least cost should not mean the cheapest spot cargo in a particular month. The cheapest cargo may not be deliverable. It may not fit the plant schedule. It may not come with acceptable credit terms. It may not be reliable in a tight market. It may not support terminal operations or downstream small-scale LNG.

A better standard is best-value prudent procurement. DOE and ERC should allow the generator to choose a portfolio that minimizes expected cost over time while preserving reliability and flexibility. This may include long-term supply, short-term procurement, spot optimization, hedging, and replacement cargoes.

Consumer protection can remain strong. DOE and ERC can require competitive procurement records, affiliate checks, benchmark comparisons, transparent reporting, audit rights, savings-sharing, and clawback for abuse. But the rules should not make fuel procurement unfinanceable.

X. LNG SUPPLY REQUIRES TIMELY SETTLEMENT AND PAYMENT SECURITY

The fuel supplier should not carry Philippine power-market settlement risk

Prompt provisional payment, later true-up, and credit support are standard requirements for firm supply.

A power market may settle monthly or with adjustments. LNG cargoes usually do not. LNG suppliers expect timely payment, often in U.S. dollars, according to the supply contract. They do not usually accept the risk that payment will depend on delayed ERC certification, WESM collection, DU settlement, carve-out adjustments, or a later audit.

The rules should therefore separate provisional payment from final audit. Fuel costs incurred under an approved formula and supported by standard documentation should be paid promptly on a provisional basis. ERC may then conduct review and true-up. Disallowance should be limited to fraud, affiliate abuse, arithmetic error, unsupported charges, manifest imprudence, or material deviation from the approved Fuel Supply Plan.

The auction framework should also require a payment-security package. This may include a letter of credit, parent guarantee, payment reserve account, market settlement security, government-supported credit enhancement, or other instrument acceptable to lenders and LNG suppliers.

This is not a windfall. Neither is it unique to the Philippines. It simply is the cost of firm supply. If suppliers must carry Philippine settlement risk, they will either charge for it or decline to supply.

XI. VOLUME PROTECTION MUST COVER CARVE-OUT, CURTAILMENT AND LOW DISPATCH

A carve-out that protects one link in the chain should not break the rest

Downstream migration or curtailment may reduce offtake, but LNG cargo, shipping and terminal obligations may remain.

The DOE Circular protects DUs from stranded cost when customers migrate to retail competition. It allows the assigned BCQ of the affected DU to be reduced through a carve-out mechanism, and freed-up capacity may be sold to WESM as uncontracted spot quantity.[19]

That may be fair to DUs. But it can strand the generator and LNG supplier. An LNG supplier may have committed cargoes. A terminal may have reserved capacity. A generator may have agreed to take-or-pay or ship-or-pay obligations. If downstream offtake falls because of carve-outs, demand response, distributed energy resources, net metering, retail migration, or RPS-related changes, those obligations do not disappear.

Before forcing the generator into spot exposure, the rules should allow reallocation of freed capacity to other DUs, RES customers, contestable customers, industrial loads, data centers, island grids, or small-scale LNG demand. If reallocation is not possible and the plant was available, unavoidable LNG obligations incurred under the approved Fuel Supply Plan should be recoverable.

XII. FX, INFLATION, LOGISTICS AND CHANGE-IN-LAW RISKS NEED ADJUSTMENT MECHANISMS

Freezing a long-term GAP in nominal pesos may raise, not lower, consumer cost

Transparent indexation is often cheaper than forcing bidders to price unmanageable risk up front.

The GAT Price covers capital recovery, financing costs, fixed and variable O&M, G&A, taxes, and return on equity, while fuel costs are excluded. The ERC summary also states that indexation for inflation, foreign exchange, updated project costs, and tax or regulatory changes is allowed only once between award and COD.[20]

Gas projects have large U.S. dollar-linked components: turbines, major equipment, EPC, long-term service agreements, spare parts, offshore debt, imported maintenance services, and LNG-related infrastructure. Local costs also rise with inflation: labor, insurance, site services, security, permitting, compliance, and local O&M.

If the GAP is fixed in nominal pesos for the full operating life, bidders will price the uncertainty into the initial offer. Some will not bid. Consumers may then face either higher upfront prices or insufficient competition.

DOE and ERC should identify the components of the tariff that are peso-based, dollar-based, inflation-linked, tax-linked, or subject to regulatory change. Each component should have a defined

adjustment formula or reopener. This is clearer and cheaper than forcing bidders to guess at 20 to 25 years of FX and inflation risk.

The same logic applies to logistics. Regasification, terminal fees, pipeline costs, storage, small-scale LNG transfer, boil-off gas, and delivery costs may vary over time. Approved logistics costs should be adjusted or passed through under the Fuel Supply and Price Risk Management Plan, subject to audit and consumer safeguards.

XIII. HEAT-RATE RULES MUST RECOGNIZE REAL MID-MERIT OPERATION

The system should not penalize the flexibility it asks gas plants to provide

Ramping, cycling, starts, stops and part-load operation can raise fuel consumption even when the plant is operated prudently.

Heat rate measures how much fuel a plant uses to produce electricity. A lower heat rate means better efficiency. Heat-rate discipline protects consumers. It prevents a generator from passing through fuel wasted by poor maintenance or inefficient operation.

But a rigid heat-rate cap can be unfair when the system itself requires the plant to operate inefficiently. A gas plant running at steady high load is more efficient than a plant that starts, stops, ramps, cycles, or runs at part load. Yet these are precisely the functions a mid-merit gas plant must perform as solar, wind, hydro, and batteries expand.

If NGCP, the System Operator, the Market Operator, or the dispatch model requires part-load operation, starts, stops, cycling, ramping, curtailment, or operation outside optimal loading, the resulting heat-rate variance should be recoverable if the plant followed dispatch instructions and prudent operating practice.

XIV. IMPORTED LNG SHOULD BE TREATED FAIRLY WHILE RESPECTING INDIGENOUS GAS PRIORITY

Imported LNG and indigenous gas are complementary

Indigenous gas priority should apply where the supply is available, sufficient, deliverable, reliable and reasonably priced.

The statutory priority for indigenous natural gas should be respected. Indigenous gas supports national resource development and energy security.

But the preference should be applied in a way that also protects consumers, encourages competition, and supports regional diversification. The DOE Circular currently ranks bids by fuel source: indigenous gas first, blended gas second, and non-indigenous gas third, with price ranking only within each tier.

This may be too rigid. An unlimited preference could allow a higher-cost indigenous or blended gas bid to block a lower-cost imported LNG project, even where the imported LNG project would diversify infrastructure, create a new hub, serve post-2030 needs, or support island and off-grid conversion. It could also favor incumbents that already have Batangas-linked infrastructure.

A disciplined preference would better serve consumers. Indigenous gas should receive priority where it is available during the delivery period, sufficient to support the awarded capacity, deliverable to the relevant grid or load center, reliable under firm supply and transport arrangements, and offered at an all-in delivered cost within a reasonable consumer-welfare margin.

For auction tranches designed to create new LNG infrastructure, diversify away from Batangas, serve the Visayas or Mindanao, support small-scale LNG, or prepare for post-2030 demand, imported LNG should be allowed to compete directly on delivered cost, reliability, development credibility, and contribution to energy security.

XV. LNG COMMITMENTS NEED GRANDFATHERING PROTECTION

Approved LNG obligations should not be stranded by later fuel-source changes

Without transition protection, long-term supply will not be bankable.

If a new-build project secures LNG supply, terminal capacity, shipping, and financing under rules approved by DOE and ERC, those obligations should not later be impaired because a cheaper indigenous gas source becomes available. DOE may reflect new indigenous gas in future auctions. It may encourage blending where commercially feasible. It may support voluntary optimization. But it should not disallow unavoidable LNG commitments prudently entered into under an approved Fuel Supply Plan. With future LNG requirements likely to breach 10 mtpa in the next ten to fifteen years, there ought to be enough demand to warrant the development of indigenous gas supply and imported LNG.

The rule should therefore state that approved LNG obligations, including take-or-pay, ship-or-pay, terminal-capacity, storage, and minimum-volume commitments, remain recoverable if prudently incurred under the rules prevailing at the time of award.

XVI. NEW BUILDS NEED A SEPARATE AUCTION TRACK

Development-stage entrants cannot be judged by incumbent readiness standards

A new entrant must create the site, interconnection, terminal interface, fuel chain and financing structure.

Existing plants and new-build projects are not similarly situated. Incumbents may already have sites, grid interconnection, operating permits, terminal access, fuel arrangements, and WESM registration. A new entrant must create these things. It cannot prudently spend the full amount required before it has offtake visibility and a credible settlement framework.

We believe that incumbents may be adequate for much of Luzon's near-term 2026-2030 requirement, while also recognizing the need for a more flexible and inclusive framework for new LNG-to-power developments that serve medium- to long-term needs. New entrants without pre-existing gas infrastructure should be allowed to compete if they can show credible supply, site, offtake, and execution plans.

DOE should create a separate new-build and regional-diversification tranche. Qualification should be milestone-based. At bid stage, a development-stage project should be allowed to submit site ownership, lease, option, reservation, or credible site access; a preliminary interconnection pathway or SIS application; fuel supply term sheet, heads of agreement, sponsor support letter, or Fuel Supply Plan; EPC, OEM, or technical development plan; financing plan; development schedule; evidence of execution capability; and bid security.

Final SIS, final fuel agreements, EPC contracts, WESM registration, financial close, and COD should be post-award milestones. The GAT methodology should also distinguish greenfield projects from brownfield incumbents. If the GAT is based mainly on incumbent or historical brownfield costs, it may screen out the very projects needed for diversification.

XVII. PH HUB AS A PRACTICAL EXAMPLE

The platform uses a power plant to create anchor demand and a terminal to create fuel access

The proposed project is a market-development platform, not merely a terminal concept.

Our 2026 July 3 letter describes our proposed project: to establish an LNG-to-power platform with Subic Bay as a possible location, anchored by an approximately 1.2 GW high-efficiency CCGT plant. Subic offers deep-water port access, proximity to Luzon demand, grid connectivity, and potential industrial land. The same hub could support small-scale LNG delivery to island grids and off-grid loads.[23]

The strategy is clear: establish a new LNG value chain, use a 1.2 GW gas-to-power project as anchor gas demand, and enable downstream value-chain development through liquid-fuel substitution. This could mature into other potential value-chain structures for RES customers, DUs, data-center and technology demand, industrial demand, off-grid power, and island power generation.[24]

The project therefore aligns with DOE's objectives: energy security, resiliency, economy, diversification, renewable integration, and reduced island fuel vulnerability. But it cannot be built on uncertain dispatch and uncertain fuel recovery. It needs the MMDQ and bankability measures described in this paper.

XVIII. RECOMMENDED DOE ACTION

The Circular, GAIG, TOR and ERC settlement rules should be refined around thirteen practical measures

Together these measures protect consumers while making new-build LNG-to-power investment possible.

Recommendation	Policy intent
Adopt a 60% MMDQ for gas-fired new builds.	Each awarded new-build gas-fired facility should be dispatched, or deemed dispatched when available but curtailed for non-generator reasons, at not less than 60% annual capacity factor.

Require a Mid-Merit Dispatch Protocol.	The System Operator and Market Operator should schedule and dispatch awarded gas capacity to achieve the MMDQ over each contract year, subject to grid security, approved outages, and force majeure.
Provide make-whole recovery.	Adopt either a two-part settlement or a deemed-delivery mechanism so that an available, fuel-ready plant recovers non-fuel costs when it is not dispatched for reasons outside its control.
Approve a Fuel Supply and Price Risk Management Plan.	Fuel costs incurred under an approved plan should be presumed prudent and recoverable, subject to audit for fraud, affiliate abuse, arithmetic error, manifest imprudence, or material deviation from the plan.
Treat benchmarks as prudence tools.	JKM and other indices should remain useful references. They should not defeat recovery of an approved long-term LNG contract merely because spot prices are lower in a given month.
Provide timely provisional settlement and credit support.	Fuel costs under an approved formula should be paid promptly on a provisional basis, with later true-up. Suppliers and lenders should have acceptable credit support.
Define least-cost procurement as prudent portfolio procurement.	The rules should recognize that the lowest spot price is not always the lowest-risk or lowest-cost supply strategy over time.
Allow FX, inflation, logistics, tax and change-in-law adjustments.	Post-COD adjustment should be allowed for defined cost components that are dollar-linked, inflation-linked, tax-linked, or outside the generator's control.
Protect heat-rate recovery for grid-directed operation.	Fuel recovery should recognize higher heat rates caused by dispatch instructions, cycling, starts, stops, part-load operation and ramping.
Apply indigenous gas priority reasonably.	Indigenous gas should receive priority where available, sufficient, deliverable, reliable and reasonably priced. New-build and regional-diversification tranches should allow imported LNG to compete on delivered cost and reliability.
Grandfather approved LNG commitments.	LNG commitments prudently entered into under an awarded project and approved Fuel Supply Plan should remain recoverable if later fuel-source developments change the market.
Create a separate new-build and regional-diversification tranche.	The tranche should use milestone-based qualification and a GAT methodology suited to greenfield projects.
Provide a bankable standard agreement.	The Certificate of Award should be supplemented by a standard auction agreement, PSA or settlement agreement with payment security, assignment rights, lender step-in rights, deemed-delivery rules, fuel recovery, force majeure, change in law, curtailment, dispute resolution and termination compensation.

XIX. CONCLUSION

Procure gas as true mid-merit capacity, dispatch it as true mid-merit capacity, and settle it in a way that keeps prudent participants whole

That is the practical path from policy aspiration to infrastructure delivery.

The mid-merit gas auction can be more than a procurement exercise. It can be the instrument that creates the Philippine LNG supply chain.

To do that, it must provide anchor volume. The 60% MMDQ is the practical means to create that volume. It is large enough to support LNG terminal economics, but small enough that its system-wide cost impact can be limited.

It must also provide bankability. LNG suppliers need timely payment, credit support, and recovery of prudent costs. Generators need dispatch certainty or make-whole protection. Terminal developers need throughput. Lenders need clear risk allocation. Consumers need transparent prices, audit rights, and protection from abuse.

These aims are compatible. The rules can protect consumers without making new builds unfinanceable. They can respect indigenous gas priority without blocking regional diversification. They can use benchmarks without turning them into hard caps that prevent long-term supply. They can procure flexible gas capacity without shifting all dispatch risk to the generator.

The requested policy is simple: procure gas as true mid-merit capacity. Dispatch it as true mid-merit capacity. Settle it in a way that keeps prudent generators and LNG suppliers whole. Use that anchor to build the LNG supply chain the country needs.

Sources and notes

No.	Source note	No.	Source note
1	PH Hub deck, Full Value Chain Development Journey; July 3 DOE letter, full value-chain model.	13	PH Hub deck, Developing new LNG Hub and ssLNG value chain.
2	Aurora Energy Research, Strategic Development Pipeline Review, November 2025, WESM-wide generation forecast; NAC Energy calculation.	14	Aurora Energy Research, gas CCGT capacity by region forecast.
3	DOE Department Circular No. DC2026-06-0013, recitals on system flexibility constraints in Luzon, Visayas and Mindanao.	15	NAC Energy calculation based on Aurora 2035 WESM-wide generation forecast of 205 TWh.
4	DOE Department Circular No. DC2026-06-0013, recitals citing RA 12120 on natural gas as transition fuel and LNG hub development.	16	DOE Department Circular No. DC2026-06-0013; Aurora Energy Research wholesale price outlook; DOE SPUG hybridization announcement, November 2025.
5	DOE Department Circular No. DC2026-06-0013, recital on variable renewable energy awards and flexible mid-merit capacity.	17	ERC draft GAIR summary, Gas Price Benchmark, Fuel Cost Pass-Through and settlement provisions.
6	Aurora Energy Research, Strategic Development Pipeline Review, solar displacement and gas ramping analysis.	18	DOE Department Circular No. DC2026-06-0013, Section 8.6.
7	DOE Department Circular No. DC2026-06-0013, auction guiding principles and fuel pass-through language.	19	DOE Department Circular No. DC2026-06-0013, carve-out mechanism and BCQ provisions.
8	DOE Department Circular No. DC2026-06-0013, Section 7; ERC draft GAIR summary, settlement mechanism.	20	ERC draft GAIR summary, GAT Price coverage and indexation rules.
9	PH Hub deck, Full Value Chain Development Journey.	21	DOE Department Circular No. DC2026-06-0013, Section 9.9 priority stacking.
10	NAC Energy/EPI letter to DOE, 2026 July 3.	22	NAC Energy/EPI letter to DOE, 2026 July 3.
11	DOE Department Circular No. DC2026-06-0013; Aurora Energy Research, capacity forecast.	23	NAC Energy/EPI letter to DOE, 2026 July 3.
12	NAC Energy/EPI letter to DOE, 2026 July 3.	24	PH Hub deck, Developing new LNG Hub and Potential Value Chain Structure.